

ASEAN: Little budget room to offset high oil prices

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【メール原文】

Indonesia will restrict access to subsidized fuel rather than raise prices. As economic pressure weighs on his popularity, President Prabowo Subianto |||||

Indonesia

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ASEAN fiscal constraints limit scope to cushion high oil prices

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ASEAN countries have so far avoided a worst-case scenario from the global energy crunch but sustained high oil prices pose considerable economic risks and fiscal constraints limit potential stimulus.

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Indonesia will stick to its 3%-of-GDP deficit limit through spending cuts, possible transfers of state-owned enterprise dividends, and tighter access to subsidized fuel rather than allowing fuel prices to rise.

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Thailand, Malaysia, and Vietnam will roll out modest measures to ease cost-of-living pressures, while the Philippines remains the most vulnerable to higher oil prices because of its heavy import dependence, mostly market-based fuel prices, and limited fiscal buffers.

Indonesia will restrict access to subsidized fuel rather than raise prices. As economic pressure weighs on his popularity, President Prabowo Subianto remains determined not to increase subsidized fuel prices; his approval rating has fallen to about 50% from 80% early in his term. The government instead plans to narrow access to subsidized fuels to exclude the top 20% of earners.

Authorities will likely keep the fiscal deficit below the 3%-of-GDP limit, aided by sharp cuts to flagship programs, notably the free meals initiative. Another option would be to transfer some state-owned enterprise dividends from sovereign wealth fund Danantara to the government budget, though this move would contravene Danantara's legal mandate to reinvest dividends. Prabowo will likely consider raising fuel prices only after exhausting all other options, as this step would risk public protests.

The rupiah has strengthened slightly from June's record low, but the currency has come under renewed pressure from high oil prices. That strain, combined with higher inflation, could deepen tensions between the government and central bank over interest rates.

Thailand will allow fuel prices to rise while modestly expanding consumer stimulus. The state Oil Fuel Fund—used for subsidies—is under increasing stress. The government will gradually allow prices for domestic diesel (the main subsidized fuel) to rise, adding inflationary pressure. Meanwhile, fiscal constraints limit the scope for stimulus, so authorities are likely to take only modest new steps, such as extending the flagship co-payment scheme (due to expire this month) by a month or two. Foreign

arrivals will be a key watchpoint for the tourism-dependent economy if flight costs rise. Thailand has so far avoided a major shock, with visitor numbers down just 3% year-on-year in the first eight months of this year.

The baht is currently around 33 per dollar, right in the middle of what Eurasia Group believes is the political tolerance range of 30-35, so the central bank is unlikely to face much pressure from the government.

Malaysia will likely keep subsidized fuel prices stable ahead of elections. Fuel prices are politically sensitive even though overall inflation remains relatively low. With general elections expected in late 2027 and state contests approaching, Prime Minister Anwar Ibrahim will likely keep subsidized RON95 gasoline and diesel prices stable, maintain expanded monthly quotas for individual fuel purchases, and roll out other measures such as larger cash handouts and reduced electricity prices. As a net oil and gas exporter, Malaysia is benefiting economically from the global energy crunch, while the tech boom provides additional tailwinds.

Vietnam will prioritize its push for double-digit growth over tackling rising inflation. Despite the global energy crunch and tariff headwinds, exports are booming, and GDP growth reached 8.4% year-on-year in the second quarter. General Secretary To Lam is focused on achieving double-digit growth as part of his legacy. While headline inflation hit 4.9% year-on-year in August, year-to-date inflation is still below the full-year target of 4.5%.

That said, the government will moderate fuel price increases with subsidies from the Petroleum Price Stabilization Fund and probably extend the temporary suspension of several fuel-related taxes set to expire on 30 September. The government has also introduced temporary personal tax relief to help counter the rising cost of living. Strong state revenue has largely eased fiscal concerns.

Philippines will refrain from broad stimulus because of tight finances. The Philippines has suffered the largest economic shock among major ASEAN economies from the global energy crunch, as it depends heavily on imported fuel and has more market-based pricing. The country would also be among the most affected if China reintroduced fuel export restrictions. Meanwhile, fallout from the infrastructure corruption scandal has weighed on economic output.

The Philippines has the largest fiscal deficit among major Southeast Asian economies (5.4% of GDP projected this year), giving Manila little room to maneuver. Further targeted support for key sectors such as transportation and agriculture is likely, but not broad-based stimulus. Congress passed a law earlier this year that enables President Ferdinand Marcos to temporarily cut fuel taxes, but the fiscal implications make him reluctant to do so. Eurasia Group does not believe Marcos will put substantial political pressure on the central bank, despite the peso's weakness.

Weak growth and higher inflation are making Marcos unpopular, but the president will not face another election (one-term limit), and his support in Congress is unlikely to weaken materially. Protests have been small but could grow if economic pressure deepens.

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